

Kuusiranta Energy Ltd - Annual Report 2025

Letter from the CEO

2025 was a year of steady growth for Kuusiranta Energy. Our revenue rose to EUR 184.6 million, and the share of renewable sources in our own electricity generation reached 87 percent. At the same time, several of our construction projects ran into difficulties, and we are not satisfied with how well our project portfolio kept to its schedules.

We continued to invest in wind and solar power. The Kivijärvi solar park, completed in the spring of 2024, had its first full year of operation and produced more electricity than its design estimate. Construction of the Ristineva wind farm, the largest investment in our history, made progress but is running behind its original schedule.

Safety remains our first priority. The number of lost-time injuries fell compared with the previous year, but every injury is one too many. For that reason we will launch a new safety programme for contractors at the beginning of 2026.

Kuusiranta Energy is headquartered in Harjuvesi. I want to thank our employees, customers and partners for their work during the year.

Markus Lehtovaara, Chief Executive Officer

Market environment

The average Nordic system price of electricity was EUR 41.20 per megawatt hour in 2025, compared with EUR 44.80 a year earlier. Prices varied strongly between seasons: the monthly average ranged from EUR 12 in June to EUR 96 in January. The price difference between the Finnish price area and the system price remained large during the winter months.

Electricity consumption in Finland grew by about 3 percent, driven by data centres, electric heating and the electrification of industry. More than 2,000 MW of new wind power capacity was connected to the Finnish grid during the year, which increased competition for grid connection capacity, particularly in Northern Ostrobothnia.

Demand for long-term power purchase agreements remained strong. Industrial customers in particular were interested in fixed-price contracts of five to ten years for renewable electricity.

Key figures

Revenue grew to EUR 184.6 million (2024: EUR 171.3 million). Growth came mainly from higher production volumes, as the Kivijärvi solar park operated for the whole year and the wind conditions were better than average. The average selling price of electricity was EUR 61.40 per megawatt hour, slightly lower than in the previous year.

Operating profit was EUR 21.9 million (2024: EUR 18.4 million). Investments totalled EUR 63.2 million (2024: EUR 48.7 million), most of which was spent on the Ristineva wind farm and the Haukilahti solar park.

The company generated 1,148 gigawatt hours of electricity (2024: 1,032 GWh). Renewable sources accounted for 87 percent of our own generation (2024: 81 percent). The remaining share came from the Vanhalinna combined heat and power plant, which burns biomass and peat.

At the end of the year the company had 412 employees (2024: 389).

Projects and operations

Ristineva wind farm (Pyhäjoki). The wind farm will consist of 20 turbines with a total capacity of 120 MW. Soil surveys revealed weaker ground than expected at several turbine locations, and the foundation design had to be revised. As a result the project is four months behind schedule, and commissioning is now expected in the autumn of 2027. The turbines are supplied by Nordwind Turbines.

Haukilahti solar park (Kokemäki). Construction of the 22 MW solar park started in May 2025. The grid connection was delayed by six weeks because the grid operator postponed its substation work. The inverters are supplied by Helios Grid Systems. The park is expected to be completed in 2026.

Pohjankangas wind farm (Kalajoki). A damaged underground collection cable was repaired in March 2025. The wind farm was partially out of operation for 19 days, and the repair cost EUR 1.3 million. The replacement cable was delivered by Baltic Cable Works.

Koskenniska hydropower plant (Kemijärvi). The renovation of the plant's turbine was completed in October 2025 on schedule and within budget. The renovation increased the plant's annual output by 4 percent.

Customers

At the end of the year we sold electricity to 64,300 customers, of whom 58,900 were households and the rest companies and public sector organisations. The number of customers grew by 2,100 during the year.

We also supply district heat to three local networks, in Lieto, Harjuvesi and Ruskola. District heat sales were 412 gigawatt hours. Customer satisfaction, measured by an independent survey, rose to 8.1 on a scale from 4 to 10.

During the year we signed two long-term power purchase agreements with industrial customers. Together they cover about 15 percent of our expected wind generation from 2027 onwards.

Personnel and safety

At the end of 2025 the company employed 412 people (2024: 389). The average age of employees was 41 years and employee turnover was 6.2 percent. Each employee received an average of 31 hours of training during the year.

There were four lost-time injuries in 2025 (2024: five). The lost-time injury frequency (LTIF), measured per million hours worked, was 5.1 (2024: 6.8). Employees and contractors filed 27 near-miss reports (2024: 19). We regard the growing number of near-miss reports as a sign of a healthier reporting culture.

Each injury was investigated, and the corrective actions are followed up by the steering group. The details of each incident are recorded in the incident register.

Sustainability and outlook

Carbon dioxide emissions from our own generation were 58,000 tonnes (2024: 74,000 tonnes). Most of the emissions come from the Vanhalinna combined heat and power plant, which will be closed in 2028 and replaced by heat pumps and an electric boiler.

Our target is carbon-neutral own generation by 2030.

Outlook for 2026: we expect revenue to be between EUR 190 million and EUR 205 million. The Hietasaari battery storage and the Haukilahti solar park are scheduled to be commissioned in 2026.

Risk management

The most significant risks to our business are changes in electricity prices, delays in construction projects, permit processes and the availability of grid connection capacity. Risks are assessed quarterly by the management team and reported to the board twice a year.

Price risk is managed by selling part of the expected generation in advance. At the end of 2025, about 70 percent of the expected generation for 2026 and 45 percent of the expected generation for 2027 had been hedged.

Construction risks are reduced with fixed-price contracts, delay penalties and delivery guarantees. Large investments require a board decision, and projects are followed by a steering group that meets at least four times a year.

Corporate governance

Kuusiranta Energy Ltd is owned by four municipalities: Harjuvesi (46 percent), Lieto (22 percent), Ruskola (18 percent) and Kalajoki (14 percent). The company's board of directors has seven members and met eleven times in 2025. The board is chaired by Anneli Saarinen.

The management team consists of the CEO and the directors responsible for production, projects, sales and customer service, and human resources. The company's auditor is Tilintarkastus Nordic Oy.

The annual general meeting will be held in Harjuvesi on 22 April 2026. The board proposes a dividend of EUR 6.0 million to the owners.